

Lufax Holding

Operating inflection at a trough valuation; upgrade to Overweight

We upgrade Lufax to OW from N following its 2Q26 operational update, as improving loan growth and leading asset quality indicators provide a clearer path to recovery from a distressed valuation. Lufax also appears relatively resilient to further loan pricing regulation, given its below-peer IRR. At a 0.1x forward P/B and with market capitalization equivalent to only 37% of end-FY25 cash, the current valuation underappreciates the operating recovery and balance sheet optionality, in our view. The interim results in August could be a catalyst through improved earnings visibility, while any shareholder return initiative would represent additional upside from our base case.

- **Upgrade to OW as fundamentals turn at a trough valuation.** New loan growth recovered to 4.6% y/y in 2Q26 from a 14.8% decline in 1Q26, while the contraction in outstanding loans moderated to 3% q/q. Leading asset quality indicators also improved, with C-M3 declining 20bps q/q, to 1.0%, D30 falling 30bps, to 5.8%, and the consumer finance NPL ratio edging down 10bps, to 1.3%. At only a 0.1x forward P/B, the current valuation underappreciates the emerging fundamental recovery, in our view.
- **Lower loan pricing provides relative regulatory resilience.** IRR-cap uncertainty remains the principal sector overhang. However, Lufax's blended new loan IRR was only 18.6% in 2025 vs. ~21.8% for peers on average, while its consumer finance loan IRR was 17.2%, well below the 20% cap. We therefore expect less pricing and margin pressure for Lufax than for higher-IRR peers if regulation tightens further.
- **Interim results could improve earnings visibility; capital returns offer upside optionality.** The 1H26 results in August should provide better P&L visibility following the operational recovery. Lufax's market capitalization is only 37% of end-FY25 cash, while it generated positive operating cash flow in 2024-25. We do not assume a special dividend or buyback in our base case, but any clearer capital management commitments along with interim results would provide additional re-rating potential.
- **Lower estimates, but improving risk/reward supports the upgrade.** We lower our FY26/27/28 new loan forecasts by 6% and total operating income by 2%/4%/5%, partly offset by lower operating expenses and impairment charges; our NPAT forecasts decline by only 1%/3%/1%. We roll forward our PT valuation date to end-2027 and revise down our PT to US\$2.00.
- **Management turnover remains a watch point.** The resignation of the CFO and three non-executive directors adds uncertainty to Lufax's governance and internal control reset, but the improving operating trajectory and distressed valuation provide sufficient compensation for this risk, in our view, while the appointment of an independent director with extensive risk management and internal control experience is directionally positive.

▲ Overweight

Previous: Neutral

LU, LU US

Price (24 Jul 26): \$1.38

▼ **Price Target (Dec-27): \$2.00**

Prior (Dec-26): \$2.10

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J.P. Morgan Securities (China) Company Limited

Key Changes (FYE Dec)

	Prev	Cur	Δ
Adj. earning per ADR - 26E (Rmb)	(0.07)	(0.08)	-5.9%
Adj. earning per ADR - 27E (Rmb)	1.82	1.77	-2.8%

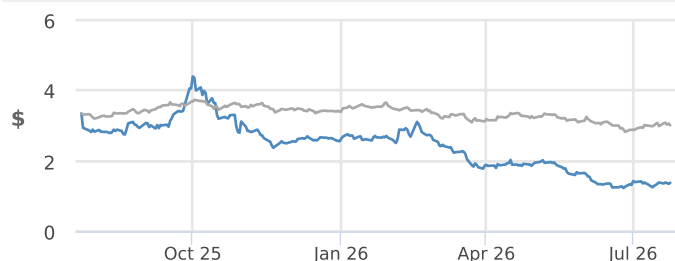
Style Exposure

Quant Factors	Current %Rank	Hist %Rank (1=Top)			
		6M	1Y	3Y	5Y
Value	6	3	11	3	12
Growth	97	100	100	96	54
Momentum	14	49	17	99	91
Quality	92	92	92	72	27
Low Vol	85	93	100	98	96

Sources for: Style Exposure – J.P. Morgan Global Markets Strategy; all other tables are company data and J.P. Morgan estimates.

See page 13 for analyst certification and important disclosures, including non-US analyst disclosures.

Price Performance



— LU Price (\$) — MSCI-Cnx (rebased)

	YTD	1m	3m	12m
Abs	-46.1%	7.8%	-28.1%	-58.8%
Rel	-34.6%	5.2%	-20.0%	-48.7%

Company Data

Shares O/S (mn)	895
52-week range (\$)	4.57-1.20
Market cap (\$ mn)	1,235
Exchange rate	1.00
Free float (%)	-
3M ADV (mn)	1.11
3M ADV (\$ mn)	1.7
Volatility (90 Day)	51
Index	MXCNX
BBG ANR (Buy Hold Sell)	0 1 0

Key Metrics (FYE Dec)

Rmb in millions	FY25A	FY26E	FY27E	FY28E
Financial Estimates				
Wealth management transaction and service fees	85	78	80	88
Retail credit facilitation service fee	5,503	3,586	2,943	2,785
Investment income	1,655	1,894	1,894	1,894
Guarantee income and others	6,690	5,980	5,168	4,937
Net interest income	13,194	14,485	17,001	19,382
Net revenue	27,128	26,022	27,087	29,087
Total Operating expenses	(10,786)	(10,436)	(10,937)	(11,778)
Adj. pre provision profit	16,341	15,586	16,150	17,309
Adj. PBT	(578)	455	2,411	3,842
Adj. net income	(2,098)	(67)	1,587	2,589
Adj. earning per ADR	(2.42)	(0.08)	1.77	2.89
BBG EPS	(2.64)	-	1.82	2.94
DPS	0.00	0.00	0.00	0.00
Book Value Per ADR	91.68	92.04	93.92	96.93
Total Assets	208,115	207,715	218,701	232,941
Margins and Growth				
Net margin	(7.7%)	(0.3%)	5.9%	8.9%
Adj. earning per ADR growth	(56.4%)	(96.9%)	(2453.2%)	63.1%
Ratios				
Adj. tax rate	(196.3%)	30.0%	30.0%	30.0%
Cost to income ratio	39.8%	40.1%	40.4%	40.5%
Dividend payout	0.0%	0.0%	0.0%	0.0%
ROE	(2.6%)	(0.1%)	2.0%	3.1%
ROA	(1.0%)	(0.0%)	0.7%	1.1%
Valuation				
Dividend yield	0.0%	0.0%	0.0%	0.0%
Adj. P/E	NM	NM	5.3	3.2

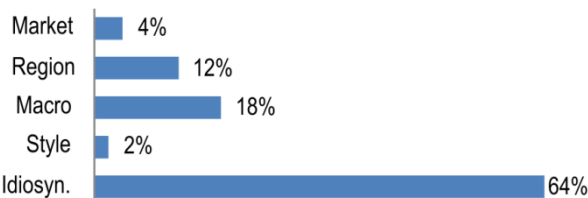
Summary Investment Thesis and Valuation

Lufax is a leading technology-enabled platform focused on retail and SME financing. We upgrade Lufax to Overweight from Neutral, as its 2Q26 update showed an emerging fundamental recovery, with new loan growth returning to positive territory and leading asset quality indicators improving. We also believe Lufax is relatively resilient to further regulatory tightening, given its below-peer loan IRR. At a 0.1x forward P/B and with market capitalization equivalent to only 37% of end-FY25 cash, the current valuation underappreciates the improving operating trajectory and substantial balance sheet optionality, in our view. Key risks include further regulatory tightening, slower-than-expected credit-cost normalization, continued management turnover and securities litigation.

Valuation

Our Dec-27 PT of US\$2.00 is based on a P/B-ROE model, assuming a cost of equity of 19.8%, a normalized ROE of 7.6% and a terminal date of 31 December 2028. Our valuation is more sensitive to the normalized ROE assumption: a 1ppt increase/decrease in normalized ROE would raise/lower our PT by approximately 39%, while a 1ppt decrease/increase in the cost of equity would raise/lower our PT by approximately 7-8%.

Performance Drivers

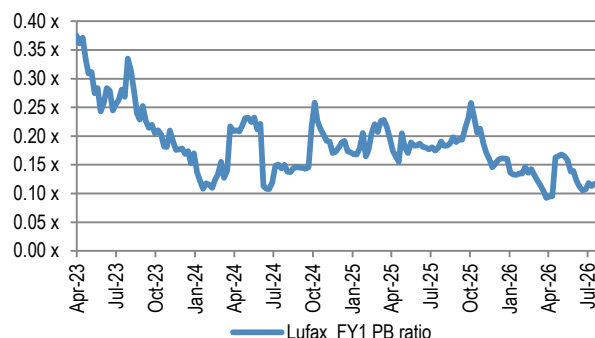


Factors	6M Corr	1Y Corr
Market: MSCI Asia Pac ex JP	0.27	0.28
Region: China	0.26	0.41
Macro:		
Emerging Central Bank Rate	-0.14	-0.27
JP Morgan EMBI Global Spread	-0.42	-0.25
JPM Global Equity Sentiment	0.23	0.20
Quant Styles:		
Quality	0.09	-0.16
Momentum	-0.37	-0.12
Size	-0.30	-0.11

Upgrade Lufax to Overweight: Growth and asset quality turn at trough valuation

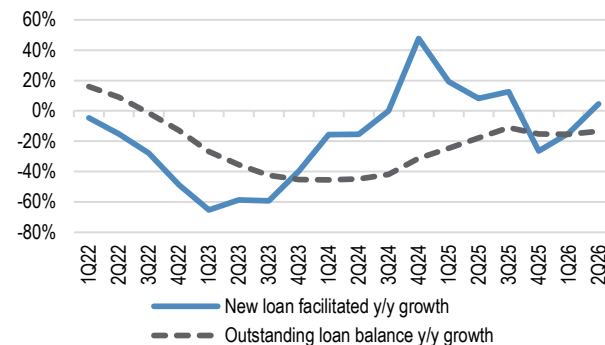
- **Distressed valuation despite an emerging fundamental recovery.** Lufax trades at only a 0.1x forward P/B, close to its historical low (Figure 1), while the operating trajectory is improving. New loans returned to 4.6% y/y growth in 2Q26 vs. a 14.8% decline in 1Q26 and flat y/y in FY25, while the contraction in outstanding loans moderated sequentially (Figure 2). Asset quality also showed signs of turning: The leading indicator C-M3 flow rate declined 20bps q/q, to 1.0%, the 30-day delinquency rate improved 30bps, to 5.8%, and the consumer finance NPL ratio fell 10bps, to 1.3%. While near-term ROE remains subdued, we believe the inflection in volumes and asset quality reduces downside risk to the earnings trajectory and supports a re-rating from the current trough multiple.
- **Lower loan pricing provides greater resilience against potential further regulatory tightening.** IRR-cap uncertainty remains the sector's key regulatory overhang, particularly whether the 4x LPR cap, currently applied to micro-lenders, could ultimately be extended to other funding providers. This concern was reinforced by a recent industry self-disciplinary meeting in June ([link](#)) that highlighted that overall pricing remains relatively high and requested major platforms to provide data for a sector-wide baseline assessment and a dedicated report to financial regulators. While this does not represent a new pricing rule, we believe the information-gathering exercise could lay the groundwork for future pricing guidance or a broader loan facilitation rate cap. Against this backdrop, we believe Lufax is better positioned than peers: Its blended new loan IRR was only 18.6% in 2025 vs. ~21.8% for peers on average (Table 1), while its consumer finance loan IRR was 17.2%, well below the current 20% cap. Lufax should therefore face less pricing and margin pressure than higher-IRR platforms if loan rate regulation tightens further.
- **Next catalyst in August from interim results, which could improve earnings visibility and offer shareholder return optionality.** We expect Lufax to release its 1H26 interim report in August. Unlike the 1Q26 and 2Q26 operational updates, the interim results should provide key P&L information and greater clarity on profitability following the near-completion of the full-guarantee transition. This could help validate whether the recovery in loan growth, asset quality and take rate is translating into improved earnings. Lufax's balance sheet provides additional upside optionality: The current market capitalization is only around 37% of end-FY25 cash, while the company generated positive operating cash flow in both 2024 and 2025. While we do not assume a capital return announcement in our base case, any dividend, buyback or clearer capital management commitment would represent additional upside and could accelerate a re-rating from the current distressed valuation, in our view. As a recap, Lufax previously had a semiannual dividend framework targeting an aggregate payout of 20-40% of net profit, although it paid no FY25 dividend because of the reported loss.

Figure 1: Lufax is trading at a 0.1x fwd P/B, close to the historical low...



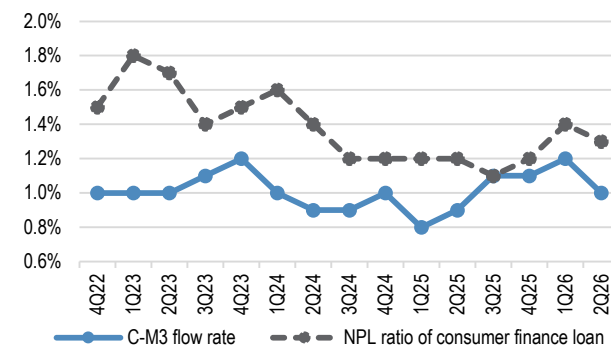
Source: Bloomberg Finance L.P.

Figure 2: ...while its new loan growth improved to +4.6% y/y in 2Q26 and outstanding loan balance contraction moderated to -13.5% y/y



Source: Company data.

Figure 3: Asset quality is improving, with early indicator C-M3 flow ratio normalizing by 20bps q/q in 2Q26 and the NPL ratio of consumer finance loans edging down 10bps q/q



Source: Company data.

Table 1: Lufax's new loan IRR is lower than peers', making it more resilient to the regulatory tightening

Average IRR of new loans	2022	2023	2024	2025
Lufax	19.8%	19.4%	18.9%	18.6%
QFIN	22.4%	21.7%	21.5%	20.8%
FinVolution	23.6%	22.3%	22.2%	22.0%
Lexin	24.6%	23.9%	23.9%	22.7%

Source: Company data.

Table 2: Rich cash position and distressed valuation bring optionality of balance sheet value unlock

Rmb mn	
Lufax current market cap	8,098
Cash at bank as of end-FY25	22,086
Market cap as a % of cash position	37%
Total equity as of end-FY25	82,041
Price to end-2025 book	0.10x

Source: Company data, Bloomberg Finance L.P. Note: Market cap as of 27 July 2026.

2Q26 operational update

What we like

- **New loan growth returned to positive territory, supported by consumer finance.** Total new loans increased 5% q/q and 4.6% y/y in 2Q26, to Rmb51.1bn, reversing the 15% y/y contraction in 1Q26 (Figure 4). Consumer finance originations increased 26% q/q and 28% y/y, to Rmb36.9bn, and accounted for 72% of total new loans, up from 60% in 1Q26 (Figure 5). This suggests that the contraction following the 2H25 regulatory tightening is beginning to ease, helped by an ongoing business mix shift toward consumer finance.
- **Outstanding loan balances are showing early signs of stabilization.** Total outstanding loans declined 3% q/q, to Rmb167.3bn at end-2Q26, an improvement from the 6% q/q contraction in 1Q26, although balances remained 13.5% lower y/y. Consumer finance loans increased 10% q/q and 20% y/y, to Rmb65.4bn, lifting their share of the total loan book to ~39% vs. 34% in 1Q26. Cumulative borrowers also increased 6% q/q, to 31.4mn.
- **Leading asset quality indicators improved.** C-M3 declined 20bps q/q, to 1.0%, reversing the deterioration seen in 1Q26 (Figure 8). The improvement was broad-based: C-M3 for general unsecured loans declined to 1.0% from 1.2%, while secured loans improved to 0.9% from 1.0%. D30 also declined 30bps q/q, to 5.8%, with both unsecured and secured loan delinquency ratios improving. The consumer finance NPL ratio decreased to 1.3% from 1.4% at end-1Q26 (Figure 10).
- **Risk-bearing transition continued to advance despite the headline decline.** Excluding the consumer finance subsidiary, Lufax's risk-bearing share increased 170bps q/q, to 95.7%, indicating that the transition toward the full-guarantee model is close to completion. However, the ratio including the consumer finance subsidiary edged down 1ppt q/q, to 93.2%, which we understand mainly reflects an increase in referral volumes under the consumer finance subsidiary, rather than a reversal of the underlying transition. This remains supportive of the credit business take rate, which had already risen to 12.7% in FY25 from 9.6% in FY24 as the risk-bearing transition progressed.

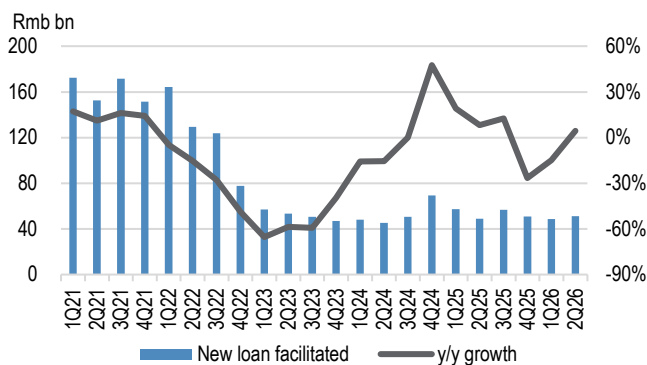
What we don't like

- **Management turnover adds uncertainty at a sensitive stage of the governance reset.** CFO and executive director Mr. Tongzhuan Xi resigned alongside three non-executive directors with backgrounds from parent company Ping An, effective 25 July. Although the departing directors cited personal work arrangements and confirmed no disagreement with the board, the simultaneous departures add to Lufax's recent management instability while the company is still responding to HKEX's comments on its investigations and internal control review. The appointment of Mr. Wai Kin Chim, who has extensive risk management, internal control and board experience, as an independent non-executive director is directionally positive, but a permanent CFO has yet to be appointed, with the internal team temporarily assuming the relevant responsibilities.
- **Lagging delinquency remained elevated despite improvement in leading indicators.** D90 increased 30bps q/q in 2Q26, to 3.7%, including a 30bp increase for unsecured loans, to 3.9%, as earlier-stage delinquencies continued to migrate into later buckets. We therefore expect the improvement in C-M3 and D30 to translate into lower reported delinquency and credit costs with a lag. Nonetheless, the turning leading indicators increase our confidence that asset quality pressure is approaching a peak.

Read-across to peers

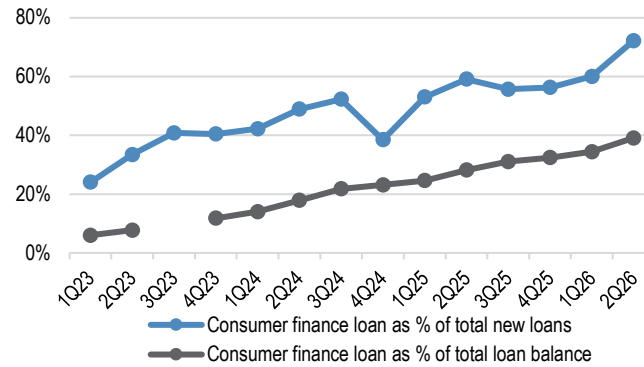
- **Positive read-across to QFIN on asset quality and growth.** Lufax's C-M3 declined 20bps q/q, to 1.0%, and D30 improved 30bps, to 5.8%, reinforcing QFIN's 1Q26 commentary that C-M2 had returned to July/August 2025 levels by March and improved marginally in April-May. Lufax's return to positive new loan growth also suggests that the sector may be regaining operating momentum as credit conditions stabilize. While lagging D90 remained elevated, we view the update as supportive of further asset quality improvement and a gradual recovery in QFIN's loan growth in 2Q26.

Figure 4: Gross new loans improved 5% y/y or 5% q/q in 2Q26, further stabilizing from -15% y/y in 1Q26



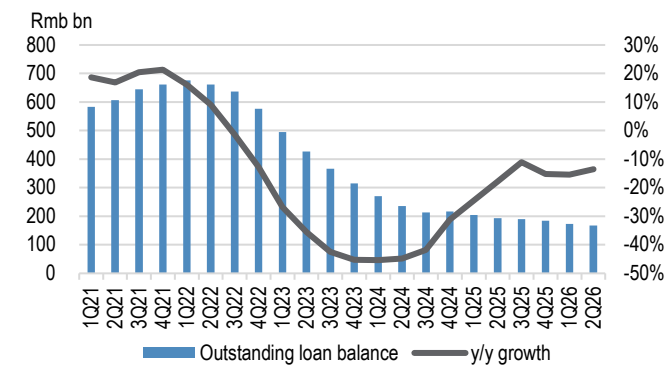
Source: Company data.

Figure 5: Consumer finance loan contributed 72% of new loans in 2Q26, increasing from 60% in 1Q26



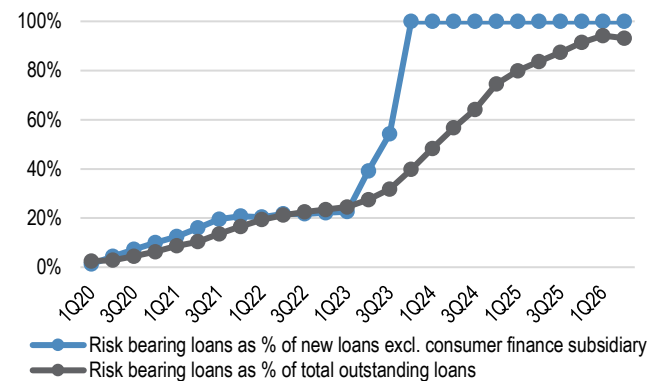
Source: Company data.

Figure 6: Outstanding loan balance contracted 13% y/y in 2Q26, moderating from -15% y/y in 1Q26



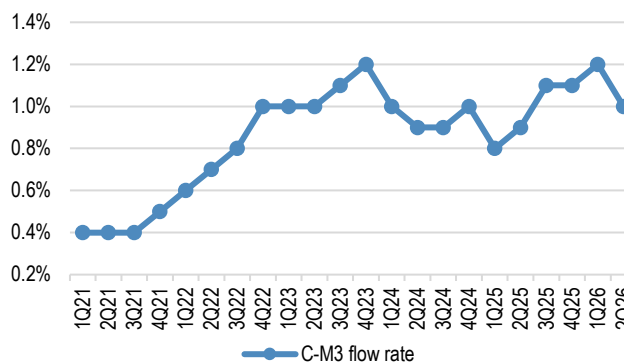
Source: Company data.

Figure 7: All of the new loans have been under a full-guarantee model since 4Q23, and the risk-bearing portion of outstanding loans edged down to 93.2% in 2Q26



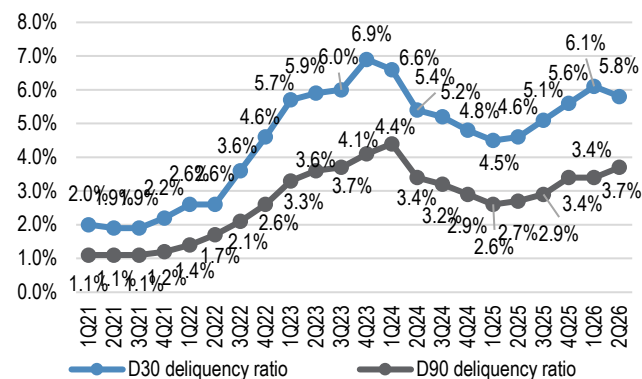
Source: Company data.

Figure 8: CM-3 flow rate improved to 1.0% in 2Q26 from 1.2% in 1Q26



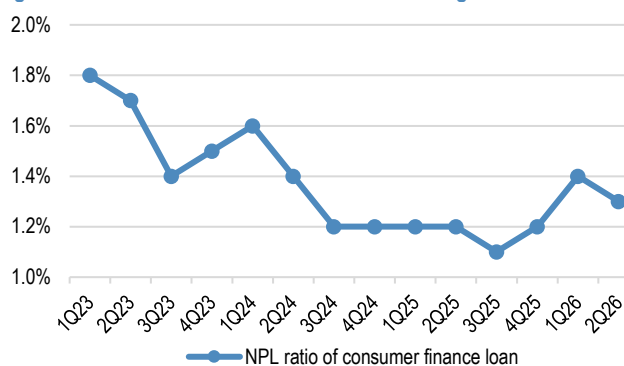
Source: Company data.

Figure 9: D30 ratio moved down to 5.8% in 2Q26, while D90 ratio edged up to 3.7%



Source: Company data.

Figure 10: NPL ratio of consumer finance loan edged down to 1.3% in 2Q26



Source: Company data.

Table 3: Key operating trends in 2Q26

Rmb mn	2Q25	3Q25	4Q25	1Q26	2Q26	QoQ	YoY
Outstanding loans balance	193,400	189,600	183,800	172,500	167,300	-3.0%	-13.5%
Cumulative borrowers (millions)	27.8	28.5	29.1	29.6	31.4	6.1%	12.9%
New loans facilitated	48,900	56,900	51,000	48,800	51,100	4.7%	4.6%
% of loans guaranteed by third party	16.2%	12.5%	8.6%	5.7%	6.8%	1.1 ppt	-9.4 ppt
% of on-balance-sheet loans	53.5%	NA	61.1%	NA	NA	NA	NA
% of risk-bearing loans of o/s loans	83.7%	87.4%	91.4%	94.2%	93.2%	-1.0 ppt	9.5 ppt
% of risk-bearing loans of new loans	100.0%	100.0%	100.0%	100.0%	100.0%	0.0 ppt	0.0 ppt
Credit business take rate	NA	13.0%	NA	NA	NA	NA	NA
C-M3 total loans	0.9%	1.1%	1.1%	1.2%	1.0%	-20 bps	10 bps
D30 unsecured loans	4.4%	5.1%	5.6%	6.4%	6.1%	-30 bps	170 bps
D30 secured loans	5.3%	5.1%	5.3%	5.4%	5.0%	-40 bps	-30 bps
D30 total loans	4.6%	5.1%	5.6%	6.1%	5.8%	-30 bps	120 bps
D90 ratio unsecured loans	2.5%	2.9%	3.4%	3.6%	3.9%	30 bps	140 bps
D90 secured loans	3.2%	2.9%	3.3%	3.0%	3.1%	10 bps	-10 bps
D90 total loans	2.7%	2.9%	3.4%	3.4%	3.7%	30 bps	100 bps
NPL ratio of consumer finance loan	1.2%	1.1%	1.2%	1.4%	1.3%	-10 bps	10 bps

Source: Company data.

Key estimate changes

- Following the 2Q26 operational update, we lower our FY26/27/28 new loan forecasts by 5.6%, reflecting a more measured recovery trajectory despite the return to positive y/y growth in 2Q26. As a result, we reduce total operating income by 1.7%/3.8%/4.8% for FY26E/27E/28E, partly offset by lower operating expenses and impairment charges, leaving our non-IFRS adjusted net profit forecasts broadly unchanged, at Rmb319mn/Rmb1.7bn/Rmb2.7bn, down 1.2%/2.6%/1.4%. Our credit business take rate assumptions remain largely unchanged, at 13.7%/14.7%/14.9%.
- Despite the modest earnings revisions, we upgrade Lufax to Overweight from Neutral, as the return to new loan growth and improvement in leading asset quality indicators increase our confidence in the fundamental recovery, while the stock continues to trade at a distressed valuation. We roll forward our price target valuation date from end-2026 to end-2027 and revise down our PT to US\$2.00. The new PT implies 45% upside to the 24 July closing price of US\$1.38.

Table 4: Summary of key estimate changes

Rmb mn	FY26E			FY27E			FY28E		
	Old	New	Change	Old	New	Change	Old	New	Change
Total technology platform-based income	3,712	3,664	-1.3%	3,143	3,023	-3.8%	3,020	2,873	-4.9%
Net interest income	14,828	14,485	-2.3%	17,796	17,001	-4.5%	20,506	19,382	-5.5%
Guarantee income	4,790	4,725	-1.4%	4,055	3,901	-3.8%	3,897	3,707	-4.9%
Other (including investment income)	3,149	3,149	0.0%	3,161	3,161	0.0%	3,125	3,125	0.0%
Total operating income	26,479	26,022	-1.7%	28,155	27,087	-3.8%	30,547	29,087	-4.8%
Operating costs	(10,677)	(10,436)	-2.3%	(11,344)	(10,937)	-3.6%	(12,426)	(11,778)	-5.2%
Sales & marketing expense	(4,620)	(4,473)	-3.2%	(5,433)	(5,254)	-3.3%	(6,248)	(5,901)	-5.6%
Other opex	(6,057)	(5,964)	-1.5%	(5,910)	(5,684)	-3.8%	(6,177)	(5,876)	-4.9%
Impairment charges	(15,176)	(14,988)	-1.2%	(14,101)	(13,560)	-3.8%	(13,929)	(13,250)	-4.9%
Finance cost	(364)	(342)	-6.1%	(435)	(379)	-13.0%	(495)	(417)	-15.8%
Pretax	461	455	-1.2%	2,476	2,411	-2.6%	3,898	3,842	-1.4%
Tax	(138)	(137)	-1.2%	(743)	(723)	-2.6%	(1,169)	(1,153)	-1.4%
Attributable Income	322	319	-1.2%	1,733	1,687	-2.6%	2,728	2,689	-1.4%
Non-IFRS adjusted profit	322	319	-1.2%	1,733	1,687	-2.6%	2,728	2,689	-1.4%
Cash and restricted cash	35,920	38,531	7.3%	38,435	42,469	10.5%	35,056	40,255	14.8%
Investments	41,890	41,890	0.0%	42,064	42,064	0.0%	42,254	42,254	0.0%
Receivables	4,240	4,240	0.0%	4,452	4,452	0.0%	4,897	4,897	0.0%
On-balance-sheet loans	107,956	104,617	-3.1%	116,162	110,860	-4.6%	133,132	126,236	-5.2%
Others	18,436	18,436	0.0%	18,856	18,856	0.0%	19,298	19,298	0.0%
Total assets	208,443	207,715	-0.3%	219,969	218,701	-0.6%	234,637	232,941	-0.7%
Payable to investors of consolidated structured entities	21,591	20,923	-3.1%	23,232	22,172	-4.6%	26,626	25,247	-5.2%
Payable to platform investors	668	668	0.0%	668	668	0.0%	668	668	0.0%
Others	103,820	103,764	-0.1%	111,973	111,814	-0.1%	120,518	120,289	-0.2%
Total liabilities	126,079	125,355	-0.6%	135,873	134,654	-0.9%	147,813	146,204	-1.1%
Total equity	82,363	82,360	0.0%	84,096	84,047	-0.1%	86,825	86,737	-0.1%
Key ratios									
Cost/income ratio	40.3%	40.1%	-0.2%	40.3%	40.4%	0.1%	40.7%	40.5%	-0.2%
ROE	-0.1%	-0.1%	0.0%	2.0%	2.0%	-0.1%	3.2%	3.1%	0.0%
ROA	0.0%	0.0%	0.0%	0.8%	0.7%	0.0%	1.2%	1.1%	0.0%
Net margin	-0.2%	-0.3%	0.0%	5.8%	5.9%	0.1%	8.6%	8.9%	0.3%
Key operating items									
New loan amount	231,012	218,178	-5.6%	258,734	244,359	-5.6%	297,544	281,013	-5.6%
Outstanding loan balance	174,263	168,873	-3.1%	181,859	173,558	-4.6%	201,349	190,920	-5.2%
Credit business take rate	13.7%	13.7%	0.0%	14.7%	14.7%	0.0%	15.0%	14.9%	0.0%

Source: J.P. Morgan estimates.

Investment Thesis, Valuation and Risks

Lufax Holding Ltd (*Overweight; Price Target: \$2.00*)

Investment Thesis

Lufax is a leading technology-enabled platform focused on retail and SME financing. We upgrade Lufax to Overweight from Neutral, as its 2Q26 update showed an emerging fundamental recovery, with new loan growth returning to positive territory and leading asset quality indicators improving. We also believe Lufax is relatively resilient to further regulatory tightening, given its below-peer loan IRR. At a 0.1x forward P/B and with market capitalization equivalent to only 37% of end-FY25 cash, the current valuation underappreciates the improving operating trajectory and substantial balance sheet optionality, in our view. Key risks include further regulatory tightening, slower-than-expected credit-cost normalization, continued management turnover and securities litigation.

Valuation

Our Dec-27 PT of US\$2.00 is based on a P/B-ROE model, assuming a cost of equity of 19.8%, a normalized ROE of 7.6% and a terminal date of 31 December 2028. Our valuation is more sensitive to the normalized ROE assumption: a 1ppt increase/decrease in normalized ROE would raise/lower our PT by approximately 39%, while a 1ppt decrease/increase in the cost of equity would raise/lower our PT by approximately 7-8%.

Risks to Rating and Price Target

Downside risks include: (1) further regulatory tightening, particularly expansion of the 4×LPR cap beyond micro-lending to other loan types; (2) higher-than-expected impairment costs under the full-guarantee model; (3) rising competition among online loan facilitators; and (4) adverse developments in the securities fraud litigation, including a larger-than-expected settlement.

Upside catalysts include: (1) higher-than-expected loan growth; (2) higher-than-expected take rates for the credit facilitation business; (3) a better-than-expected macro recovery; and (4) additional shareholder return initiatives.

Lufax Holding: Summary of Financials

Income Statement (Rmb mn)	FY24A	FY25A	FY26E	FY27E	FY28E	Balance Sheet	FY24A	FY25A	FY26E	FY27E	FY28E
Credit facilitation fee	8,066	5,503	3,586	2,943	2,785	Cash and cash equivalents	44,036	41,121	38,531	42,469	40,255
Wealth management transaction and service fees	95	85	78	80	88	o/w Restricted cash	14,132	19,035	18,083	18,988	19,937
Investment income	(1,047)	1,655	1,894	1,894	1,894	Accounts receivable	6,217	4,240	4,240	4,452	4,897
Net interest income	12,311	13,194	14,485	17,001	19,382	Loans Enabled	111,509	102,291	104,617	110,860	126,236
Other income	5,088	6,690	5,980	5,168	4,937	Investments	23,668	42,426	41,890	42,064	42,254
Total Operating Income	24,513	27,128	26,022	27,087	29,087	Others	142,782	152,353	154,492	161,275	177,227
						Total assets	203,537	208,115	207,715	218,701	232,941
SG&A	(7,430)	(5,958)	(6,237)	(6,966)	(7,724)	Accounts payable	51,010	37,146	29,148	31,153	35,059
Other operating expense	(6,212)	(4,828)	(4,200)	(3,971)	(4,054)	Borrowings	51,115	63,536	69,890	76,878	84,566
Impairment charges	(12,613)	(16,587)	(14,988)	(13,560)	(13,250)	Redeemable pref shares	0	0	0	0	0
Finance cost	(85)	(258)	(342)	(379)	(417)	Other long term liabilities	68,929	88,927	96,207	103,502	111,145
Other gains/(losses)	(253)	(74)	200	200	200	Total liabilities	119,939	126,074	125,355	134,654	146,204
Adj. PBT	(2,079)	(578)	455	2,411	3,842	Shareholders' equity	81,773	79,830	80,149	81,836	84,526
Tax	(1,525)	(1,134)	(137)	(723)	(1,153)	Minority interests	1,825	2,211	2,211	2,211	2,211
Minority Interest	(267)	(386)	(386)	(100)	(100)	Total liabilities & equity	203,537	208,115	207,715	218,701	232,941
Adj. Net Income	(3,871)	(2,098)	(67)	1,587	2,589	BVPS	93.42	91.68	92.04	93.92	96.93
Adj. earning per ADR	(5.55)	(2.42)	(0.08)	1.77	2.89						
DPS	0.00	0.00	0.00	0.00	0.00						
ADR outstanding	895	895	895	895	895						
Ratio Analysis	FY24A	FY25A	FY26E	FY27E	FY28E	Ratio Analysis	FY24A	FY25A	FY26E	FY27E	FY28E
Revenue y/y growth	(28.5%)	10.7%	(4.1%)	4.1%	7.4%	Net profit margin	(15.8%)	(7.7%)	(0.3%)	5.9%	8.9%
Adj. Net Income y/y growth	(578.1%)	(45.8%)	(96.8%)	(2453.2%)	63.1%	ROE	(4.5%)	(2.6%)	(0.1%)	2.0%	3.1%
EPS y/y growth	(493.1%)	(56.4%)	(96.9%)	(2453.2%)	63.1%	ROA	(1.8%)	(1.0%)	(0.0%)	0.7%	1.1%
DPS y/y growth	(100.0%)	-	-	-	-	ROCE	-	-	-	-	-
						Net debt/equity	0.1	0.3	0.4	0.4	0.5
						Tax rate	(73.4%)	(196.3%)	30.0%	30.0%	30.0%
						P/E (x)	NM	NM	NM	5.3	3.2
						P/BV (x)	0.1	0.1	0.1	0.1	0.1
						Dividend yield	0.0%	0.0%	0.0%	0.0%	0.0%

Source: Company reports and J.P. Morgan estimates.

Note: Rmb in millions (except per-share data). Fiscal year ends Dec. o/w - out of which

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Qfin Holdings(QFIN/\$13.19/N)

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Lufax Holding (LU, LU US) Price Chart



Date	Rating	Price (\$)	Price Target (\$)
23-Aug-23	UW	5.00	2
17-Jan-24	UW	2.27	1
22-Mar-24	UW	4.91	2
22-Aug-24	UW	2.73	1.9
22-Oct-24	UW	3.03	2.2
17-Apr-26	N	2.03	2
07-May-26	N	2.02	2.1

Source: Bloomberg Finance L.P. and J.P. Morgan; price data adjusted for stock splits and dividends.
Initiated coverage Nov 25, 2020. All share prices are as of market close on the previous business day.

Qfin Holdings (QFIN, QFIN US) Price Chart



Date	Rating	Price (\$)	Price Target (\$)
02-Jul-25	OW	42.99	65
15-Aug-25	OW	33.30	50
10-Sep-25	OW	28.37	45
19-Nov-25	N	22.42	21
27-Jan-26	N	16.40	16
18-Mar-26	N	14.43	14
27-May-26	N	12.59	14.5

Source: Bloomberg Finance L.P. and J.P. Morgan; price data adjusted for stock splits and dividends.
Initiated coverage Jul 02, 2025. All share prices are as of market close on the previous business day.

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